3,64,477.73 crore showing a *growth of 15.4 per cent*. The total physical exports from SEZs in the first half of the current financial year have been to the tune of app. Rs. 2,39,628 crore, registering a *growth of 36 per cent* over the last year.

- The ***total investment*** in SEZs till September 30, 2012 was app. Rs. 2,18,795.41 crore.
- As per the provisions of the SEZ Act 2005, ***100 per cent FDI*** is allowed in SEZs through the automatic route.
- A total of 160 SEZs are exporting goods and services – of this 93 are IT/ITES, 17 multi-product and 50 other sector-specific SEZs.
- The total number of units in these SEZs is 3308.

GAAR

The GAAR (General Anti-Avoidance Rules), originally proposed in the *Direct Taxes Code 2010*, are targeted at arrangements or transactions made specifically to avoid taxes. The government had decided to advance the introduction of GAAR and implement it from the financial year 2013-14 itself. More than 30 countries have introduced GAAR provisions in their respective tax codes to check such tax evasion.

The ***objective*** of the GAAR provisions is to codify the doctrine of *'substance over form'* where the real intention of the parties and purpose of an arrangement is taken into account for determining the tax consequences, irrespective of the legal structure of the concerned transaction or arrangement. It essentially comes into effect where an arrangement is entered into with the main purpose or one of the main purposes of obtaining a *tax benefit* and which also satisfies at least one of the following *four tests*:

(i) The arrangement creates rights and obligations that are not at arm's length,

(ii) It results in misuse or abuse of provisions of tax laws,

(iii) Lacks commercial substance or is deemed to lack commercial substance, or

(iv) it is not carried out in a bona fide manner.